DAY-25

PAGE NO.:
DATE:

Hypothesis Testing:

Statistical method used to evaluate a claim / hypothesis about population parameter

OR

comparing sample data to a hypothesis about a population parameter to determine whether there is enough evidence to reject or accept the hypothesis.

OR

W/O hypothesis test, you risk drawing wrong conclusion & making bad decision

① **Null hypothesis:**

① baseline, default assumption.

→ there is no significant difference or effect

→ it is denoted (H_0)

② **Alternative Hypothesis:**

logical opposite

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PAGE NO.:
DATE:

of Null hypothesis

→ there is significant different or effect

→ it is denoted by (H_1)

Note :

These two claims need to be mutually exclusive

⊕ → Scan / Level

Level of significance (α) :-

predefined threshold

→ Rejection region of distribution

⊕ P-value :

Strength of evidence against H_0.

⊕ Decision Rule :

if p value is less than α, reject the H_0.

$p < \alpha$, H_0 reject.

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